

Two weeks later, the company would say that around 4.5 lakh retail applicants who had applied for less than 225 shares had not been allotted any shares. The massive subscription in the non-institutional portion spelt bad news for HNIs who had applied for the shares using borrowed funds. They would be getting only one share for every 160 they had applied for, while the interest they paid on borrowed money would be applicable for 160 shares.

Big traders and operators were not too bothered about the Reliance IPO as they were staring at a far worse problem. The stunning fall in share prices during the week had caused heavy losses on their positions in multiple stocks, and the situation would get worse if they were unable to deposit additional margin money with their brokers.

Most of the market players I knew spent their weekend scrambling around for cash. With the mood turning on its head, the proverbial tide of liquidity that had lifted every boat suddenly seemed to have drained away.

I did not get too many calls for help, because most of my fellow traders assumed that I too had suffered heavy losses and was scouting around for cash. Unknown to my friends, I was sitting on a handsome pile of profit.

From what I could see around, the bloodbath was expected to become even more gory on Monday. There was just not enough money in the system for investors to be able to take advantage of the steep fall in prices. I foresaw more margin calls being triggered on Monday, setting off another round of panic selling. But I now had to think about winding down my short positions. Not even the most experienced trader can rightly call a market top or bottom. Of course, once in a blue moon, your trade might be the last one just before the market reverses course either way. But that trade would be merely of academic significance. The Nifty had closed at 5,705 on Friday. My instinct and my reading of the trading screen over the last week told me that the index could break below 5,000 at least once even if it did not stay there for long. As was expected, the turmoil on Monday was by far the worst in the market since it had started falling a week ago. Stocks went into a free fall from the moment trading began. Players unable to put up additional margins were selling out at whatever price they could, sending prices hurtling into a death spiral. Adding to the downward pressure was massive short-selling by hedge funds, which were adept at exaggerating market trends, whether up or down, through their heavy purchases or short sales. Also, these funds could now legitimately borrow shares from